ECON 4555 — Part III, Question 5

2025 Q2: April–June

Fares in nominal cents per nonstop O&D passenger-mile

Table 1. Modern dominated-airport comparisons. Airports have at least 2.5 million scheduled domestic boardings in the quarter and a carrier with at least 50% of observed ticket originations. The six highest origination shares are shown; selection does not use fares.

	Nonstop origin–destination distance (miles)						
Fare comparison	< 200	200–< 500	500–< 1000	1000–< 1500	1500–< 2000	≥ 2000	All
Eligible domestic O&D	95.49	50.28	27.08	19.16	16.19	14.11	20.64
American — Dallas/Fort Worth (DFW)							
Origination share: 72.4%; coupon-boarding share (proxy): 83.8%; T-100 boardings: 9.14 million							
AA away from DFW	115.54	62.24	33.29	22.70	17.38	14.83	23.40
AA to/from DFW	129.51	69.19	33.27	23.21	16.72	16.68	26.98
Others to/from DFW	120.99	65.97	21.20	13.83	14.24	10.05	16.09
American — Charlotte (CLT)							
Origination share: 72.2%; coupon-boarding share (proxy): 88.9%; T-100 boardings: 6.29 million							
AA away from CLT	116.07	61.83	32.71	22.88	17.21	14.89	23.50
AA to/from CLT	157.00	69.20	37.93	22.00	19.23	14.96	29.88
Others to/from CLT	203.90†	36.89	27.11	17.69	14.28	12.46	22.19
United — Newark (EWR)							
Origination share: 66.4%; coupon-boarding share (proxy): 65.1%; T-100 boardings: 3.67 million							
UA away from EWR	121.92	55.45	31.99	23.25	18.60	14.97	22.29
UA to/from EWR	97.78	58.24	29.11	22.00	18.97	15.39	20.43
Others to/from EWR	—	39.45	20.77	16.36	12.26	11.87	15.44
United — Houston Intercontinental (IAH)							
Origination share: 65.3%; coupon-boarding share (proxy): 72.3%; T-100 boardings: 4.44 million							
UA away from IAH	114.97	54.63	31.49	23.11	18.48	15.04	21.47
UA to/from IAH	132.34	64.83	31.95	22.80	20.10	16.22	26.07
Others to/from IAH	182.76	71.97	18.88	15.29	14.44	11.44	16.55
Southwest — Baltimore/Washington (BWI)							
Origination share: 62.3%; coupon-boarding share (proxy): 74.0%; T-100 boardings: 3.21 million							
WN away from BWI	80.96	45.81	26.41	19.26	15.22	12.00	21.86
WN to/from BWI	133.46	52.66	28.17	18.59	15.82	12.47	22.55
Others to/from BWI	291.31†	43.02	20.48	17.12	14.09	11.99	16.79
Delta — Detroit (DTW)							
Origination share: 61.6%; coupon-boarding share (proxy): 72.3%; T-100 boardings: 3.78 million							
DL away from DTW	127.36	62.73	35.59	23.28	19.51	15.90	24.84
DL to/from DTW	154.66	66.32	38.31	23.35	19.06	18.00	28.72
Others to/from DTW	310.83†	42.71	18.11	14.84	10.79	13.83	16.24

Reading the table. Each block compares the same carrier away from the airport, that carrier on O&D markets touching the airport, and every other eligible carrier on those markets. Yield = 100 × weighted fare revenue / weighted nonstop O&D miles. The "All" column is recalculated from totals, not averaged across bins. A dash means no eligible fare records; † indicates fewer than 30 sampled directional passengers. Shares are percentages. Coupon-boarding shares are survey proxies, not observed T-100 marketing-carrier shares. T-100 boardings are scheduled domestic airport-wide segment passengers. Full methods and limitations follow.

Main findings. The selected carrier's overall yield exceeds rivals' at all six airports (by 32.3–76.8%). Its yield also exceeds its own away-airport yield at five airports, but is 8.4% lower at EWR. Distance-specific comparisons contain further reversals. These are descriptive differences across travel mixes, not estimates of market-power effects.

Historical-airport follow-up

2025 Q2: April–June

Fares in nominal cents per nonstop O&D passenger-mile

Supplement to Table 1. The six airports in Borenstein's original Table 1, in their original order, paired with the largest observed ticket-origination group in 2025 Q2. This contextual panel does not impose the main panel's traffic or 50% dominance thresholds; PIT and ORD have leading shares below 50%.

	Nonstop origin–destination distance (miles)						
Fare comparison	< 200	200–< 500	500–< 1000	1000–< 1500	1500–< 2000	≥ 2000	All
Eligible domestic O&D	95.49	50.28	27.08	19.16	16.19	14.11	20.64
Southwest — St. Louis (STL)							
Origination share: 63.3%; coupon-boarding share (proxy): 68.5%; T-100 boardings: 1.96 million							
WN away from STL	81.96	45.96	26.36	19.09	15.16	12.06	21.71
WN to/from STL	—	56.49	29.41	22.78	17.01	12.16	26.51
Others to/from STL	209.10†	60.16	32.76	23.06	17.03	14.09	26.94
Delta — Minneapolis/St. Paul (MSP)							
Origination share: 58.7%; coupon-boarding share (proxy): 71.5%; T-100 boardings: 4.03 million							
DL away from MSP	129.32	62.56	35.83	23.40	19.40	15.97	24.97
DL to/from MSP	99.11	71.63	36.14	22.87	20.21	15.18	27.00
Others to/from MSP	—	48.79	21.58	13.97	12.16	11.08	16.44
Southwest — Pittsburgh (PIT)							
Origination share: 29.5%; coupon-boarding share (proxy): 27.4%; T-100 boardings: 1.26 million							
WN away from PIT	81.96	46.26	26.60	19.20	15.26	12.07	21.93
WN to/from PIT	—	48.15	25.72	20.92	14.81	11.87	21.27
Others to/from PIT	111.96	50.62	22.62	25.53	15.81	13.64	23.39
American — Dallas/Fort Worth (DFW)							
Origination share: 72.4%; coupon-boarding share (proxy): 83.8%; T-100 boardings: 9.14 million							
AA away from DFW	115.54	62.24	33.29	22.70	17.38	14.83	23.40
AA to/from DFW	129.51	69.19	33.27	23.21	16.72	16.68	26.98
Others to/from DFW	120.99	65.97	21.20	13.83	14.24	10.05	16.09
United — Chicago O'Hare (ORD)							
Origination share: 46.2%; coupon-boarding share (proxy): 49.3%; T-100 boardings: 8.80 million							
UA away from ORD	116.02	54.36	31.46	23.06	19.21	15.02	21.38
UA to/from ORD	125.08	62.68	31.85	22.84	16.77	17.14	25.78
Others to/from ORD	123.15	59.09	27.51	17.31	13.02	11.46	20.41
Delta — Atlanta (ATL)							
Origination share: 60.8%; coupon-boarding share (proxy): 79.2%; T-100 boardings: 11.70 million							
DL away from ATL	126.59	62.00	35.39	23.27	18.92	15.79	24.05
DL to/from ATL	142.47	66.34	37.27	23.89	22.08	18.20	32.30
Others to/from ATL	175.25†	29.88	21.38	18.22	11.06	11.94	17.49

Reading the table. Each block compares the same carrier away from the airport, that carrier on O&D markets touching the airport, and every other eligible carrier on those markets. Yield = 100 × weighted fare revenue / weighted nonstop O&D miles. The "All" column is recalculated from totals, not averaged across bins. A dash means no eligible fare records; † indicates fewer than 30 sampled directional passengers. Shares are percentages. Coupon-boarding shares are survey proxies, not observed T-100 marketing-carrier shares. T-100 boardings are scheduled domestic airport-wide segment passengers. Full methods and limitations follow.

Historical continuity is not assumed. TWA and USAir are absorbed into today's American group, and Northwest into Delta; their former airport positions do not automatically transfer to those successors. The data identify Southwest as the current leader at STL and PIT. At STL and PIT, Southwest's overall yield is respectively 1.6% and 9.1% below other eligible carriers at the same airport.

Methodology and comparability

Original reference. Borenstein (1989), *RAND Journal of Economics*, 20(3), Table 1, printed p. 356 (PDF p. 14). The original compares six dominant carrier–airport pairs, each against the carrier elsewhere and other airlines at that airport, by nonstop-distance band. Its fares are from domestic DB1A tickets in 1987 Q3. The present table preserves that comparison using DB1B in 2025 Q2.

Fare sample and benchmark. Use all 7,675,361 validated, eligible directional Market records (14,215,332 sampled passenger weights; 28,910 unordered airport pairs and 18 parent groups), not the 7,499-row one-carrier regression baseline. The latter would exclude competing fare observations. Retain domestic, credible nonbulk fares, no ticketing-carrier change, fares at least $20 per directional market, one/two validated air coupons, positive distances and complete valid operating-segment matches. These inherited filters retain about 88.1% of raw DB1B directional passenger weights; the benchmark is all *eligible survey O&D traffic*, not a census of every domestic passenger. All eligible competitors enter "Others."

Yield definition. For each row and distance band, with survey passenger weight p_i, allocated directional fare F_i, and nonstop O&D miles d_i,

$$Y = 100\frac{\sum_i p_i F_i}{\sum_i p_i d_i} \quad \text{cents per nonstop O\&D passenger-mile.}$$

This is a passenger-mile-weighted mean of individual fare-per-mile ratios, not an unweighted mean of route fare percentiles. DB1B Market fares already allocate ticket revenue by flown distance; they are not halved again for round trips. Both directional markets of a round trip contribute intentionally. The common 10% survey expansion factor cancels. "To/from" refers to O&D endpoints; connecting through an airport alone does not put the fare in its to/from row. Bins are $[0, 200)$, $[200, 500)$, $[500, 1000)$, $[1000, 1500)$, $[1500, 2000)$, and $[2000, \infty)$; boundaries are explicitly nonoverlapping. The original table note specifies nonstop miles but does not fully detail its averaging weights; the weighting here is explicit.

Airport shares and selection. Count each credible nonbulk domestic Ticket once at its true ticket origin, weighted by passengers and assigned to its first coupon's ticketing carrier. Aggregate to parent groups before forming shares. Denominators include all valid groups and precede fare/service restrictions. The boarding proxy similarly uses passenger-weighted domestic air Coupons, grouped by coupon origin and ticketing parent, including transfers. It can miss within-coupon on-plane stops and is affected by survey coverage. It is *not* a T-100 marketing-network enplanement measure. T-100 supplies the 2.5-million boarding selection threshold: sum April–June scheduled passenger segment counts across operators, aircraft and configurations, with positive seats/departures. Shared regional operators are not assigned wholesale to a major airline. All 13 eligible carrier–airport candidates are ranked by origination share, then airport traffic and codes; the top six are displayed. No fare values enter selection.

Mergers and corporate groups as of 2025 Q2.

Modern group	Treatment of historical consolidation
American (AA)	Includes integrated TWA and US Airways/Piedmont lineages.
Delta (DL)	Includes integrated Northwest lineage.
United (UA)	Includes integrated Continental lineage.
Southwest (WN)	Includes integrated AirTran lineage.
Alaska–Hawaiian (AS+HA)	Alaska (including Virgin America) plus Hawaiian under one parent.
Other groups	Keep other ticketing codes separate, including B6, NK and F9.

Historical TW, NW, US, CO and FL codes are not present in the current eligible fare records, so no fictitious predecessor observations are added. AS and HA remain separate operating brands in the source quarter but are combined for this parent-level descriptive table; the previous Q4 baseline is unchanged. Regional flights marketed by a major group follow their observed ticketing code. Shared operators such as SkyWest are not treated as a single major's subsidiary; alliances and codeshares alone do not establish common ownership.

Limits. Nominal 2025 and 1987 cents-per-mile values are not inflation-adjusted comparisons. The paper's preprocessed DB1A one-way/round-trip fares differ from DB1B mileage-prorated market fares; we do not reproduce its half-round-trip allocation or its exclusion of open-jaw/circle tickets. BTS fare-class codes are not comparable across carriers, so first class cannot be reliably excluded. One/two coupons do not prove at most one plane change. Ancillary fees are not measured. Different destinations, distance mixes, trip structures and service quality can drive differences even within a distance band. No route-matched premium, regression, causal effect, markup or welfare calculation is claimed.

Reproduction and audit: `scripts/table1_part3_q5.py` and `scripts/render_table1_part3_q5.py`; output CSVs include each cell's fare records, sampled passenger weights, revenue and O&D miles. Share sums, distance-bin totals and carrier/competitor partitions are checked. Sources: the repository's Borenstein PDF and validated official BTS DB1B/T-100 archives, with acquisition hashes recorded in project documentation.